

China Daily Brief

Tuesday, September 29, 2026

2,680 words · 11 min read

RE: RE: \$60B US-China tariff cuts · Trump denies Xi arms offer · Beijing stimulus push · Japan-Taiwan row

USD/CNY
6.6952
▼ -0.07%

SSE COMPOSITE
3,830.45
▼ -3.08%

HANG SENG
24,523.57
▼ -2.25%

BRENT
\$97.23
▼ -8.79%

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• TODAY AT A GLANCE

- 1 Washington and Beijing each published \$30 billion product lists for reciprocal tariff cuts Sunday, covering everything from Christmas ornaments to camels while leaving rare earths untouched.
- 2 Trump denied Monday that he offered to sell US weapons to Xi Jinping, contradicting Ambassador David Perdue's Sunday claim that he made exactly that offer during last week's Washington summit.
- 3 China's cabinet and PBOC moved in tandem on growth support, with the central bank cutting its one-year PSL rate to 1.5% as the State Council signaled a possible Q4 supplementary stimulus.

US-CHINA

US, China publish \$60 billion tariff-cut lists, leave rare earths untouched

The US and China each released lists of \$30 *billion* worth of goods, Christmas ornaments, lumber, camels, set for tariff reductions, days after the Trump-Xi Washington summit. Sensitive materials including rare earths stayed off both lists, per Nikkei reporting.

CNN · NIKKEI ASIA, SEP 28-29

US-CHINA

Trump denies offering to sell US arms to Xi after ambassador says he did

President **Trump** told reporters Monday he'd "never heard of" offering to sell weapons to Xi Jinping, contradicting Ambassador David Perdue's Sunday claim on Fox News that Trump made exactly that offer at last week's White House summit. Trump added Beijing would "probably like to buy it" but said "we didn't discuss it." A US official separately told AFP Washington has no plans to sell weapons to China.

AP · AFP, SEP 29

DIPLOMACY

China tells Japan's Takaichi to 'correct' Taiwan remarks, demands ties 'normalize'

Foreign Minister **Wang Yi** said China-Japan relations need to return to 'normalization' and urged Prime Minister Takaichi to swiftly correct her Taiwan remarks. The exchange coincides with MOFA marking the 54th anniversary of the China-Japan Joint Statement by urging Tokyo to 'reflect and correct mistakes.'

BLOOMBERG, SEP 29

PRC-ECONOMY

Beijing's leadership grows anxious over Q4 growth, weighs supplementary stimulus

Monday's State Council Executive Meeting readout shows leadership 'worried about economic performance for the rest of the year' and considering a Q4 supplementary stimulus package, per Sinocism's translation. The signal came the same day PBOC cut its one-year Pledged Supplementary Lending rate from 1.75% to 1.5% and expanded several relending facilities.

SINOCISM, SEP 29

INDO-PACIFIC

Beijing rejects Manila's new South China Sea chart as 'illegal, invalid'

MOFA spokesperson **Guo Jiakun** said the Philippines' Sept 25 chart, labeling Thitu (Zhongye) and Nanshan (Mahuan) islands as part of a self-declared 'Kalayaan Island Group', is illegal, invalid, and

violates the UN Charter. China separately told the UN General Assembly to urge Manila to 'stop the multilateral hype' on the South China Sea and return to bilateral talks.

MOFA PRESSER ZH · HK01, SEP 29

CROSS-STRAIT

Taiwan says arms-sales dialogue with US 'continuous' as \$14B package stays on hold

Taiwan officials said US arms sales policy toward the island remains unchanged and Taipei is in 'continuous talks' with Washington, even as a *\$14 billion* package remains stalled. The status comes days after the Trump-Xi Washington summit, where Trump has said Xi 'knows how I feel' on Taiwan without detailing specifics.

AP, SEP 29

TECHNOLOGY	India readies \$25 billion Deep Tech fund to close gap with US, China · CNBC China India is preparing a <i>\$25 billion</i> investment push into deep-tech startups to cut reliance on foreign technology. The move aims to help India catch up with the US and China in AI, per CNBC.
TECHNOLOGY	China's securities regulator sets three tough criteria for robot IPOs · CNBC China China's CSRC is raising listing standards for humanoid robot startups with three new criteria, sources told CNBC. Few, if any, current robotics firms meet the bar.
TECHNOLOGY	China's RoboTechnik ends nearly 5% down in mixed Hong Kong debuts · Reuters China Robotics firm RoboTechnik closed its Hong Kong trading debut down almost <i>5 percent</i> Monday. Other listings in the same batch showed mixed results.
PRC-ECONOMY	Citi recommends buying China's 30-year bonds on weak growth view · Bloomberg China Citi advised clients to buy China's 30-year government bonds, citing a weak growth outlook. The call follows Beijing's fresh stimulus signals.
PRC-ECONOMY	China struggles to clean up \$327 billion of bad consumer debt · Bloomberg China Bloomberg reports China's effort to resolve <i>\$327 billion</i> in non-performing consumer debt is faltering. The stall is worrying investors in the bad-debt cleanup trade.
PRC-ECONOMY	China's factories seen rebounding in September as Beijing signals more aid · Reuters China Economists expect a September factory activity rebound as Beijing signals additional support. The forecast follows Monday's PBOC rate cuts.
ENERGY	China's metal-heavy commodity imports track a bumpy energy transition · Reuters China Reuters' commodities column finds China's import mix increasingly skewed toward metals needed for its energy transition, reflecting uneven progress across supply chains.
DOMESTIC POLITICS	Xi Jinping revives old festivals to burnish the party's image · Economist China The Economist finds Beijing reviving traditional festivals as a soft-power tool to reinforce the party's image, part of a broader domestic messaging campaign.
PRC-ECONOMY	China deploys uncapped low-interest loans to help SOEs clear overdue debts · 信报 (HKEJ ZH) PBOC set up a new relending facility, with no quota cap, to help local-government-linked firms pay overdue bills. China Chengxin International estimates the backlog at <i>4.5 trillion yuan</i>, over 3% of GDP.

TARIFF · SCMP

US soybean farmers call exclusion from China tariff cuts a 'missed opportunity'

US soybean farmers said their exclusion from Beijing's new Board of Trade import list is a 'missed opportunity,' even as China ramped up soybean purchases ahead of last week's summit. The forum covers meat, dairy, corn, wheat, sorghum and vegetable oils, but not soybeans.

EXPORT CONTROLS · BLOOMBERG CHINA

Five flashpoints define the US-China AI rivalry

Bloomberg's rundown of US-China AI friction spans chip export controls, model-safety standards, talent competition and compute access. It lands as OpenAI and Anthropic executives call for slower model releases even as Beijing's AI sector keeps pace.

DIPLOMACY · NYT CHINA

Divisions between US and China 'simmer beneath the surface' after Xi's Washington visit

Unresolved tensions persisted as **Xi Jinping** departed Washington after his state visit despite the warm public reception from Trump. Export controls, AI and Taiwan arms sales remained unaddressed in public readouts.

CONGRESS · RFI CHINESE

House Speaker Johnson expects continued US support for Taiwan

House Speaker **Johnson** said he expects Washington to keep backing Taiwan, per RFI's Chinese service. The remarks come as a \$14 billion Taiwan arms package remains on hold after the Trump-Xi summit.

DIPLOMACY · POLITICO

Xi's Washington visit delivered a coal deal but left key issues unresolved

Politico's rundown of Xi's state visit outcomes highlights a new US coal export deal and tariff-cut talks alongside a long list of unresolved disputes. AI safety cooperation and Taiwan arms sales go unaddressed in the joint statements.

● CHINA & THE WORLD

CROSS-STRAIT · 国防部 (MND ZH)

China Coast Guard patrols waters east of Taiwan island

China's Ministry of National Defense said coast guard vessels conducted what it called a 'routine' law-enforcement patrol in waters east of Taiwan island. The Sept 29 notice gave no vessel count or duration.

CROSS-STRAIT · TAIWAN NEWS

TSMC affiliate VIS weighs second chip plant in Singapore

Vanguard International Semiconductor, a TSMC affiliate, is considering a second wafer fab in Singapore. The move would extend Taiwan's chip industry footprint outside the island.

CROSS-STRAIT · FOCUS TAIWAN

Two indicted after paint, feces thrown at Taiwan stand-up show mocking Xi Jinping

Taiwan prosecutors indicted two people for throwing paint and feces at a stand-up comedy show mocking Xi Jinping. The incident is described as part of a yearlong harassment campaign against the venue.

JAPAN · 外交部 (MOFA ZH)

Wang Yi meets Japanese trade promotion association chairman Iwaya Takeshi

Foreign Minister **Wang Yi** held talks in Beijing with Iwaya Takeshi, chairman of the Japan International Trade Promotion Association. The meeting came the same day MOFA urged Tokyo to correct Prime Minister Takaichi's Taiwan remarks.

ASEAN · SCMP

Philippine coastguard faces funding cuts even as South China Sea role grows

Manila plans to expand its coastguard's role in contested South China Sea waters even as the agency questions whether it has enough ships and personnel. The 2027 budget shows funding constraints threatening its ability to keep assets at sea.

MULTILATERAL · 香港01 (HK01 ZH)

China tells Philippines at UN to end South China Sea 'multilateral hype'

China's UN mission urged the Philippines to stop what it called multilateral publicity efforts over South China Sea disputes. Beijing called for a return to bilateral consultations.

● STAT OF THE DAY

¥4.5 trillion

Estimated overdue local-government-linked payments owed to Chinese firms

China Chengxin International Research Institute puts the backlog above 3% of GDP; PBOC has begun channeling low-cost loans through a new, uncapped relending facility to help clear it, per Bloomberg-sourced reporting cited by HKEJ.

HKEJ (via Bloomberg)

AUTO / GEELY, NIO · NYT CHINA

Geely and Nio merge battery-swap and charging operations

Two of China's leading EV makers, Geely and Nio, announced they are merging their battery-swapping and charging operations as the industry moves toward consolidation.

MANUFACTURING / NOVO NORDISK, HENGRUI PHARMA · FT CHINA

Novo Nordisk pays up to \$2.6bn for rights to Hengrui's weight-loss pill

Novo Nordisk agreed to pay up to \$2.6 *billion* for rights to Hengrui Pharma's experimental once-weekly obesity pill.

AUTO / FAW, GAC, TOYOTA · REUTERS CHINA

FAW, GAC to explore broader cooperation after Toyota JV stake deal

FAW Group agreed to sell its 50% stake in a Toyota joint venture to Guangzhou Automobile Group, and the two said they will explore broader cooperation.

AUTO / TOYOTA · FT CHINA

Toyota's China sales tumble as high fuel prices deter buyers

Toyota is grappling with a prolonged sales slump in China, the world's biggest auto market, as high fuel prices deter buyers.

MANUFACTURING / GOTION, VOLKSWAGEN · REUTERS CHINA

China's Gotion invests \$1.25 billion in Volkswagen's Spain battery plant

Gotion will invest \$1.25 *billion* in a Volkswagen battery plant in Spain, deepening the firms' European battery ties as VW sells a stake.

TECH / CXMT · SCMP

China's CXMT plans \$5.2 billion memory-chip expansion, favors domestic suppliers

Memory chipmaker CXMT plans to invest 34.9 *billion yuan* (\$5.2 *billion*) in R&D and wafer-testing capacity, directing much of the spending to domestic equipment suppliers.

FINANCE · BLOOMBERG CHINA

Chinese stimulus boost, higher bond supply threaten debt rally

Bloomberg reports fresh stimulus and rising bond supply are complicating China's government-bond rally even as growth concerns persist.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · TUESDAY, SEPTEMBER 29, 2026

中国人民银行 · PEOPLE'S BANK OF CHINA

Cuts PSL rate, expands relending facilities to support growth

PBOC cut the one-year Pledged Supplementary Lending rate from 1.75% to 1.5%, added 2,000亿元 to the tech-innovation relending facility (to 1.4 trillion yuan, support ratio raised to 100%), and added 500 billion yuan to agriculture/small-business relending, including 300 billion yuan for private firms.

→ PBOC ZH ↗

商务部 · MINISTRY OF COMMERCE · Wang Wentao, Commerce Minister

Holds video call with German economy minister on trade ties

Wang and German Economy Minister Katherina Reiche 'exchanged opinions' on Sino-German and Sino-EU trade ahead of the next round of China-EU talks, amid reports Germany and France are pushing a tool to swiftly bar Chinese products from the EU market.

→ SCMP ↗

国家外汇管理局 · STATE ADMINISTRATION OF FOREIGN EXCHANGE · Li Bin, SAFE deputy administrator and spokesperson

Reports Q2 external debt data as 'generally stable'

China's total external debt stood at \$2.4982 trillion at end-June 2026, up \$86.1 billion (4%) from end-March; local-currency debt share rose to 56%, mid/long-term debt held at 41%.

→ Global Times ZH ↗

科技部 · MINISTRY OF SCIENCE AND TECHNOLOGY · Yin Hejun, Minister of Science and Technology

Touts China's rise in global innovation rankings

Yin said 2025 nationwide R&D spending topped 3.92 trillion yuan (2.8% of GDP, above the OECD average) and China ranked 9th globally in the National Innovation Index Report 2025.

→ Global Times ZH ↗

PERSONNEL CHANGES

Zhao Shitong (赵世通) REMOVED

Deputy Director, Taiwan Affairs Office of the State Council

State Council announced Zhao Shitong's removal as TAO deputy director in a Sept 29 personnel notice; no successor was named.

Shen Changyu (申长雨) REMOVED

Director, National Intellectual Property Administration

State Council removed Shen Changyu as head of China's IP regulator in the same Sept 29 notice.

Guo Weiping (郭卫平) REMOVED

Vice Chairman, National Ethnic Affairs Commission

Included in the same State Council personnel notice.

Mou Haisong (牟海松) **REMOVED**

Deputy Director, State Bureau for Letters and Calls
Included in the same State Council personnel notice.

外交部 · MOFA · POST-SUMMIT FOLLOW-THROUGH ON TRUMP-XI CONSENSUS

CONCILIATORY · TO US

Guo Jiakun ¹ · MOFA spokesperson

“Per MOFA: China is willing to work with the US side to earnestly implement the important consensus reached by the two heads of state.”

中方愿同美方共同落实好两国元首重要共识

Statement follows the Sept 24-26 Trump-Xi Washington summit and the Sept 28 release of \$60 billion in reciprocal tariff-cut lists.

MOFA presser ZH via 中国一带一路网

外交部 · MOFA · REJECTION OF PHILIPPINES' NEW SOUTH CHINA SEA CHART

FIRM · TO PHILIPPINES

Guo Jiakun ¹ · MOFA spokesperson

“The Philippines has illegally occupied parts of China's Nansha Qundao and delineated a so-called 'Kalayaan Island Group' beyond its own territorial scope; publishing a chart of China's Nansha islands seriously infringes China's territorial sovereignty and violates the UN Charter and international law, it is illegal and invalid.”

菲律宾非法侵占中国南沙群岛部分岛礁、超越自身领土范围划设所谓'卡拉延岛群'，发布中国南沙群岛相关岛礁的所谓'海图'，严重侵犯中国领土主权，严重违反联合国宪章及相关国际法，是非法的、无效的。

Manila's national mapping authority published a new chart Sept 25 labeling Thitu and Nanshan islands under a self-declared 'Kalayaan Island Group.'

MOFA presser ZH via 搜狐

中国人民银行 · PBOC · MONETARY POLICY EASING VIA PSL AND RELENDING TOOL ADJUSTMENTS

ROUTINE · TO DOMESTIC

People's Bank of China ¹ · central bank announcement

“The one-year Pledged Supplementary Lending rate will be cut from 1.75 percent to 1.5 percent, to better incentivize policy banks to support the real economy and serve national strategy.”

一年期抵押补充贷款利率从1.75%降至1.5%，更好激励政策性银行支持实体经济、服务国家战略。

The move follows Politburo and State Council directives to implement a 'moderately loose' monetary policy amid slowing growth.

PBOC ZH via 搜狐

习近平 · XI JINPING · LETTER MARKING SICHUAN UNIVERSITY'S 130TH ANNIVERSARY

ROUTINE · TO DOMESTIC

Xi Jinping ¹ · CCP General Secretary, President

“Cherishing home and country, taking root in the west, and promoting education to cultivate talent is Sichuan University's fine tradition. At this new starting point, I hope you will carry forward the red bloodline, leverage your cross-disciplinary strengths, and take the lead in serving the new era's national strategies.”

胸怀家国、扎根西部、兴学育才，是川大的好传统。新起点上，希望你们赓续红色血脉，发挥文理工医交叉融合优势，努力在服务新时代国家战略中当先锋作表率，为建设教育强国、科技强国、人才强国作出积极贡献。

Xi's letter, released Sept 29, followed a letter from Sichuan University's faculty and students marking its 130th founding anniversary; no in-person Xi public appearance has been confirmed since before Sept 24.

PLA Daily ZH via 中国军网

● WHAT OTHERS ARE SAYING

AFP · SEP 29, 2026

Donald Trump · President of the United States

“They'd probably like to buy it because we do make better equipment than them, so maybe it's a good idea. But we didn't discuss it.”

Trump made the remark to reporters in the Oval Office after Ambassador Perdue said the president had offered to sell arms to Xi Jinping.

source

FOX NEWS VIA AFP · SEP 28-29, 2026

David Perdue · US Ambassador to China

“He actually asked President Xi -- would he like to buy some? -- at one point.”

Perdue made the claim in a Fox News interview Sunday; Trump denied it Monday.

source

XINHUA VIA LIANHE ZAOBAO · SEP 28, 2026

Wang Huning · CPPCC Chairman, Politburo Standing Committee

“We will resolutely crack down on 'Taiwan independence' separatist forces, oppose external interference, and unswervingly advance the great cause of national reunification.”

Wang made the remarks at a National Day reception in Beijing's Great Hall of the People marking the PRC's 77th anniversary.

source

DIPLOMACY

CSIS

CSIS publishes takeaways from the Trump-Xi White House summit

CSIS's China program assessed the substance and limits of last week's Trump-Xi meeting in Washington.

CNBC CHINA

CNBC's China Connection: summit spectacle aimed at domestic audiences

Analysts told CNBC the Trump-Xi summit pageantry was designed primarily for each leader's domestic constituents.

PRC-ECONOMY

REUTERS CHINA

Reuters Breakingviews warns China risks swinging tax pendulum too far

Breakingviews cautioned Beijing's shifting tax policy could overcorrect as it seeks to boost consumption.

REUTERS CHINA

Chinese workers push back on overtime ahead of National Day break

Workers demanded genuine rest as China's 'golden week' holiday approaches Oct 1.

NIKKEI ASIA CHINA

China's luxury malls expand even as broader retail sales slump

High-end mall operators, including Hong Kong-based groups, are expanding footprints despite the wider retail downturn.

TECHNOLOGY

CAIXIN

Arm China CEO says AI era splits hardware globally even as models stay global

Chen Feng told Singapore's Asia Vision Forum that AI-era globalization fragments chips while software stays borderless.

NYT CHINESE

NYT examines whether China is 'distilling' stolen US AI technology

The piece finds many experts say Silicon Valley claims of Chinese AI theft via distillation are overstated.

CNBC CHINA

OpenAI shelves next model release citing safety concerns

OpenAI and Anthropic leaders both called for a slower AI development pace amid the broader US-China AI race.

● UPCOMING

Sep
30

Martyrs' Day wreath-laying, Tiananmen Square

Xi Jinping and other leaders are to attend the ceremony marking the 105th anniversary of the CCP's founding and the 90th anniversary of the Long March's end, per Lianhe Zaobao.

Oct
1

PRC National Day, 77th anniversary

Marks the founding of the People's Republic; Hong Kong expects 1.29 million mainland visitors over the 'golden week' holiday.

Nov
3

US midterm elections

German commentary cited by DW argues Trump is avoiding further escalation with Beijing before the vote.

Nov
18

APEC Leaders' Meeting, Shenzhen

China hosts; MOFA fielded questions Monday on a possible Trump-Xi-Putin trilateral on the sidelines without confirming one.

Oct

Fifth Plenum of the 20th Central Committee

Beijing meeting to set the tone for 2027's 21st Party Congress and finalize 15th Five-Year Plan details.

CSIS China Programs

CHINA DAILY BRIEF

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